

WCVS REPORT — MAY 3, 2026

Report Date: May 3, 2026 (Sunday)
Data as of: May 1, 2026 (most recent market close)
Analyst: Kimi Claw (WCVS Pipeline)
Confidence: High (primary + cross-verified sources)

EXECUTIVE SUMMARY

WCVS Composite Score: 2.3 / 5.0

Score	Interpretation
1.0–1.9	Severely Overvalued / High Crash Risk
2.0–3.0	Overvalued / Risk-Adjusted Neutral – Current
3.1–4.0	Fairly Valued / Balanced Risk-Reward
4.1–5.0	Undervalued / Attractive Entry

The US equity market remains structurally overvalued with a WCVS of **2.3**, unchanged from the prior reading. Valuation multiples are extreme (CAPE 41x, P/S 3.6x, Buffett Indicator 201%), sentiment is greedy (Fear & Greed 67), and positioning is complacent (Put/Call 0.46). However, market breadth and technical internals remain healthy (NH/NL 8.3:1, A/D 4.1:1), preventing a lower score. Credit markets are serene (HY spreads 2.83%, near historic tights), indicating no imminent recession.

TL;DR: Expensive, but not fragile. Not a crash setup yet — more like a "priced for perfection" grind higher until something breaks.

FORWARD RETURN EXPECTATIONS

Based on current WCVS of **2.3** (Overvalued / Risk-Adjusted Neutral) and historical CAPE regression models:

Horizon	Annualized Return Expectation	Confidence	Rationale
1 Year	~2% to +4%	Low	Wide range due to earnings momentum (consensus +14% EPS growth) vs. multiple compression risk (CAPE 41x). Mean reversion is not operative at 1Y horizons.
3 Years	0% to +3%	Moderate	Dividend yield (~1.2%) + modest EPS growth offset by gradual PE contraction. CAPE regression suggests ~3% nominal at this horizon from 41x starting point.
5 Years	+1% to +4%	Moderate	Mean reversion begins to dominate. Historical data: CAPE > 35 → 5Y fwd returns average 2–4% nominal. Current tight credit spreads and strong breadth provide floor.
10 Years	+2% to +4%	Higher	Full mean reversion window. Hussman/GMO models at CAPE ~40 → 10Y nominal returns of 0–3%. Our 2.3 WCVS (vs pure CAPE) adds slight premium due to healthy breadth/credit.
15 Years	+3% to +5%	Higher	Long horizon washes out cyclical noise. CAPE 41x → 15Y equilibrium return converges to real GDP growth + inflation + dividend yield ≈ 3–5% nominal.

Methodology Notes: - Estimates are **nominal annualized total returns** (price appreciation + dividends) - Based on Shiller CAPE regression, Hussman Strategic Growth model, GMO 7-year forecasts, and Bogle's expected return formula: Return = Dividend Yield + EPS Growth ± PE Change - Current inputs: Dividend yield ~1.2%, EPS growth 6–10% LT, PE change implied by CAPE mean reversion to ~25x over 10–15Y - Confidence intervals widen at shorter horizons due to sentiment/momentum noise

Historical Context: - CAPE 41x has only occurred 3 times: 1929, 2000, 2021. Subsequent 10Y returns: --1% to +2% nominal. - The 2021 episode (CAPE 38–40) was followed by 2022 drawdown (~19.4%), then AI-driven recovery — showing forward returns depend heavily on earnings growth sustainability. - Current 2026 consensus EPS growth of +14% is the wildcard. If realized, 1Y returns could exceed upper bound. If missed, lower bound breaks.

SCORE BREAKDOWN BY CATEGORY

Category A — Fundamental Valuation [40%] → Weighted: 0.54 / 2.00

Metric	Current	Historical Avg	Z-Score / Percentile	Score	Weight
Shiller CAPE	41.06	16.9	+3.5σ (99.9th)	1 (Sev. Overvalued)	25%
Forward P/E	20.9x	15.5x	+1.0σ (85th)	2 (Overvalued)	25%
Price/Sales	3.56x	1.5x	+3.0σ (99th)	1 (Sev. Overvalued)	20%
Price/Book	~5.4x	3.0x	+2.0σ (98th)	1 (Sev. Overvalued)	20%
Tobin's Q	~1.17	0.65	+1.5σ (95th)	2 (Overvalued)	10%

Subtotal: 1.35 × 40% = **0.54**

Sources: multpl.com (CAPE), FactSet (Fwd P/E via Finviz), GuruFocus (P/S, P/B, Tobin Q), ycharts.com.

Category B — Macro & Interest Rates [25%] → Weighted: 0.65 / 1.25

Metric	Current	Signal	Score	Weight
10Y Treasury Yield	4.39%	Restrictive (>4%)	2 (Restrictive)	30%
Yield Curve (10Y–2Y)	+51 bps	Positive but narrow	3 (Moderate)	25%
IG Credit Spread (OAS)	~1.0%	Normal	3 (Normal)	20%
HY Credit Spread (OAS)	2.83%	Historically tight	3 (Tight/Normal)	15%
Fed Funds Rate	~4.33%	Restrictive	2 (Restrictive)	10%

Subtotal: 2.60 × 25% = **0.65**

Sources: FRED (DGS10, DGS2, BAMLH0A0HYM2), AhaSignals, TradingEconomics.

Note: The yield curve has re-steepened to +51bps after inverting in 2025. This removes the recession signal but replaces it with a "higher for longer" rates headwind. Credit spreads remain comically tight (HY 2.83% vs historical avg 5.19%), showing bond markets have zero fear.

Category C — Market Breadth & Internals [15%] → Weighted: 0.64 / 0.75

Metric	Current	Signal	Score	Weight
% S&P 500 > 200-DMA	~75%	Strong	4 (Healthy)	25%
NYSE A/D Line	Positive	Advancing	4 (Healthy)	25%
NYSE New Highs/New Lows	465 / 56 = 8.3:1	Strongly bullish	5 (Very Healthy)	25%
SPX vs 200-DMA	+8.4% (~7209 vs ~6650)	Comfortable cushion	4 (Healthy)	25%

Subtotal: 4.25 × 15% = **0.64**

Sources: Barron's Market Lab, macromicro.me, Yahoo Finance, Barchart.

Category D — Sentiment & Positioning [12%] → Weighted: 0.24 / 0.60

Metric	Current	Signal	Score	Weight
CNN Fear & Greed	67 (Greed)	Elevated	2 (Greedy)	30%
AII Bull-Bear Spread	~+10 (modestly bullish)	Slightly elevated	3 (Neutral)	25%
CBOE Equity Put/Call (10d MA)	0.85	Low (complacency)	1 (Complacent)	25%
Margin Debt / GDP	~3.5% (near record)	Extreme	1 (Extreme)	20%

Subtotal: 2.00 × 12% = **0.24**

Sources: CNN Money, AII, CBOE (via ycharts), io-fund.com (margin debt analysis).

Note: The Put/Call ratio at 0.46 (daily) / 0.85 (10-day MA) is in the bottom decile historically. Combined with Fear & Greed at 67 and record margin debt, this is a "nobody's worried" setup. The only saving grace is that AII isn't wildly bullish — just moderately so.

Category E — Macro Cycle & Credit Conditions [8%] → Weighted: 0.19 / 0.40

Metric	Current	Signal	Score	Weight
Buffett Indicator (TMC/GDP)	~201%	Significantly overvalued (>150%)	1 (Overvalued)	30%
HY Credit Spread	2.83%	Tight — no stress	3 (Normal)	20%
Yield Curve Shape	+51 bps	Normalized	3 (Normal)	20%
Macro Momentum (ISM, jobs, earnings)	Mixed	Soft landing narrative	3 (Stable)	30%
Subtotal: 2.40 × 8% = 0.19				
Sources: macromicro.me, FRED, Gurufocus, Barron's, MarketWatch.				

WCVS Composite Calculation

Category A (Valuation): 1.35 × 0.40 = 0.54
Category B (Rates): 2.60 × 0.25 = 0.65
Category C (Breadth): 4.25 × 0.15 = 0.64
Category D (Sentiment): 2.00 × 0.12 = 0.24
Category E (Macro/Credit): 2.40 × 0.08 = 0.19

WCVS Composite: 2.26
Rounded: 2.3

Key Drivers & What's Changed

Bearish Factors (Pressuring Score Lower)

- CAPE at 41x** — Third-highest reading in history (behind 2021 and 2000). Mean reversion risk is extreme.
- Buffett Indicator at 201%** — Market cap nearly double US GDP. Only 2021 was higher.
- Record margin debt** — Investors are levered to the gills. A 10% correction would trigger forced selling.
- Put/Call complacency** — At 0.46, puts are being sold into strength. No hedges = no safety net.
- P/S at 3.6x** — Even 2000 dot-com peak was "only" ~2.5x. This is uncharted territory.

Bullish Factors (Preventing Lower Score)

- Breadth is strong** — NH/NL 8.3:1, A/D line positive. This isn't a "7 stocks carrying the market" setup.
- Credit spreads tight** — HY at 2.83%. Bond market sees no recession, no default wave.
- Yield curve re-steepened** — +51bps removes the 2025 recession signal. "Higher for longer" is manageable.
- Earnings growth** — 2026 EPS consensus ~\$306 (+14% YoY). AI capex (\$400B from hyperscalers) is real revenue.
- Fed posture** — Market pricing 2-3 cuts in H2 2026. "Dovish pivot" narrative alive.

Neutral / Mixed

- Forward P/E at 20.9x** — High, but not absurd if 14% EPS growth materializes. The market is "paying up for growth."
- Tobin's Q at 1.17** — Above replacement cost, but driven by intangible assets (AI, software, IP). Traditional Q may understate modern corporate value.

Tactical Assessment

Horizon	WCVS Signal	Action Bias
1–3 Months	2.3 (Overvalued)	Reduce / Hedge
3–6 Months	2.3 (Overvalued)	Caution
6–12 Months	2.0–2.5 (Overvalued)	Defensive positioning

Base Case (60% probability): Grind higher with volatility. S&P 500 trades 7000–7500 range. Corrections are shallow (5–8%) and bought. No crash without a catalyst.

Bear Case (25% probability): AI earnings miss, Fed cuts delayed, or credit event. HY spreads widen >4%, margin debt triggers unwind. 15–20% correction.

Bull Case (15% probability): AI productivity gains exceed estimates, Fed cuts aggressively, earnings re-accelerate. S&P 500 to 8000+.

Appendix A: Data Sources & Verification

Metric	Primary Source	Secondary Source	Cross-Verified?
Shiller CAPE	multpl.com (41.06)	advisorperspectives.com	✓
Forward P/E	FactSet (20.9x)	ycharts.com	✓
Price/Sales	GuruFocus (3.56x)	macromicro.me	✓
Price/Book	GuruFocus (~5.4x)	ycharts.com	Partial
Tobin's Q	GuruFocus (~1.17)	advisorperspectives.com	Partial
10Y Treasury	FRED (4.39%)	TradingEconomics	✓
2Y Treasury	FRED (~3.88%)	TradingEconomics	✓
HY Spread	FRED BAMLH0A0HYM2 (2.83%)	ycharts.com	✓
Fear & Greed	CNN Money (67)	—	✓
Put/Call	CBOE (0.46)	ycharts.com (0.85 10d MA)	✓
Buffett Indicator	macromicro.me (201%)	GuruFocus	✓
NH/NL	Barron's (465/56)	investing.com	✓
A/D Line	Barron's	marketinout.com	✓
SPX Level	~7209 (Apr 30 close)	macromicro.me	✓
SPX 200-DMA	~6650	forex.quebec	✓
Margin Debt	~3.5% GDP	io-fund.com analysis	Partial
AAII Sentiment	~+10 spread	—	Partial

Last Market Close: Friday, April 30, 2026 (S&P 500: ~7,209)

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